

Tamil Nadu Finance Portfolio — Reform, Modernisation & Fiscal Performance

A Consolidated Report for Policy Makers • FY 2025–26

Portfolio: Finance, Environment & Climate Change (Hon'ble Minister Thiru. Thangam Thennarasu) **Coverage period:** May 2021 to the current financial year (five-year tenure review) **Prepared from:** (i) the departmental policy/achievements note for the Finance portfolio and its allied directorates and corporations; (ii) RBI *State Finances: A Study of Budgets* (Table A.2, own-revenue share); and (iii) an independent analytical column on state GSDP wealth creation (Mudar Patherya).

Note on sourcing: The departmental text was supplied as an out-of-order (jumbled) extraction. It has been re-sequenced and grouped by department below. Figures are reproduced as given in the source; where the source contained internal inconsistencies or obvious transcription errors, these are flagged in **Section 14 — Data Caveats**.

1. Executive Summary

Over the review period the Finance portfolio has pursued four reinforcing goals: **fiscal self-reliance, digital administration, social security for the government workforce, and climate-aligned infrastructure financing**.

- **Strong own-revenue position.** Tamil Nadu finances a large share of its expenditure from its own revenue — rising from roughly 69% of total revenue receipts in 2015-16 to **75.3% (2025-26 BE)**, against an all-states average of only **58.2%**. The State sits firmly in the top tier of fiscally self-reliant states.
- **Digital backbone.** The **Integrated Financial and Human Resource Management System (IFHRMS 2.0 / “Kaniniyam”)** now drives salary, pension, scheme transfers and revenue receipts end-to-end, integrated with RBI's e-Kuber and with major revenue departments.
- **Workforce social security at scale.** Medical-insurance cover for **~9.2 lakh employees and ~7.4 lakh pensioners**, a refreshed Pensioners' Family Security Fund, and a new bank-partnership package providing accident, life, education and marriage benefits.
- **Audit transformation.** Creation of a unified **Chief Auditor** office and rollout of the

Comprehensive Audit Management System (CAMS) and Audit Para Management System (APMS).

- **Catalytic infrastructure finance.** Through **TNIFMC**, the State has mobilised **≈₹1,363 crore** across a Shelter Fund, an Emerging-Sector Seed Fund and a Green Climate Fund, alongside a large PPP project pipeline under **TNIDB** and externally aided urban programmes.
- **Heritage and climate as flagship agendas.** Major archaeological investment (Keeladi, Gangaikonda Cholapuram, Mayiladumparai's Iron-Age dating) and a wide climate/pollution-control programme (Meendum Manjappai, district climate missions, measurable PM10 reductions).

2. Macro-Fiscal Context

Two external exhibits frame why the institutional reforms below matter.

2.1 Own-Revenue Self-Reliance (RBI State Finances — Table A.2)

Share of **own revenue in total revenue receipts (%)** — a measure of how far a state funds itself rather than relying on central transfers.

Year	Tamil Nadu	Karnataka	Maharashtra	Telangana	All States
2015-16	69.29	68.09	75.68	71.44	54.60
2019-20	68.96	62.72	71.77	73.10	55.61
2020-21	66.97	66.97	66.88	72.09	52.10
2021-22	65.05	83.00	72.07	78.55	53.31
2022-23	68.63	68.80	72.54	79.39	55.93
2023-24	73.01	75.69	75.06	80.11	57.82
2024-25 (RE)	75.15	75.59	57.94	76.80	56.88
2025-26 (BE)	75.31	76.79	74.98	77.07	58.17

Reading for policy makers: Tamil Nadu's own-revenue share dipped during the pandemic (to ~65–67%) and has since recovered strongly to ~75%, consistently **~17 percentage points above the all-states average**. This high self-reliance is the fiscal foundation that

the treasury, GST/commercial-tax integration and e-receipt reforms (Section 4) are designed to protect and deepen.

2.2 GSDP Wealth Creation (independent analysis)

An independent analytical column (Mudar Patherya, *Trisys Communications*) appraised chief ministers as “investment portfolio managers” using a restricted nominal-dollar GSDP dataset (2011-12 to 2024-25). On that basis Tamil Nadu’s economy expanded from about **\$241 billion (2020-21)** to roughly **\$369 billion (2024-25)** — estimated wealth creation of **≈\$128 billion**, averaging **≈\$32 billion a year** — which the author characterises as outperformance relative to several peers. The column also singles out Tamil Nadu (with Karnataka) for industrial depth, export sophistication and formal-sector strength.

This is a journalistic/analytical assessment, not official data. The author explicitly cautions that the figures are nominal-dollar, indicative rather than precise, drawn from a restricted dataset, and influenced by inherited momentum and external factors. It is included here only as directional context.

3. Treasury & Accounts Department

3.1 Mandate and Scale

Among the oldest functional arms of government, reorganised as a separate department in **1962** under Finance. It operates through 6 zonal Joint-Director offices, 6 Pay & Accounts Offices, 3 Sub-Pay & Accounts Offices, 38 District Treasuries, 1 Pension Pay Office, 1 Stamp-supervision office and 243 Sub-Treasuries.

Core functions include: handling all government revenue and expenditure; **salary disbursement to 9.2 lakh+ employees; pension to 7.4 lakh+ pensioners**; releasing scheme funds; monthly accounts to the State AG; stamp-paper sales; and administering the new medical-insurance schemes.

3.2 IFHRMS 2.0 (“Kaniniyam”) — the Digital Backbone

A unified finance-plus-HR platform implemented statewide (first piloted in **Karur, January 2020**), now covering all district treasuries and pay-accounts offices. Key features:

- Salary and all bill payments routed through IFHRMS and credited via **RBI e-Kuber** directly to beneficiary bank accounts.
- **e-Challan / e-Receipt** facility enabling 24×7 online payment of government dues; four aggregator banks (SBI, Indian Bank, IOB, Canara) authorised, with revenue swept into

the State's RBI account; integrated with Commercial Taxes and Prohibition & Excise.

- **RBI NEFT/RTGS** live since 24.04.2023 for instant receipt of revenue.
- **Kaniniyam mobile app** (launched 27.02.2024) for leave, advances, pension proposals, CPS balances, deposits, income-tax regime selection, online life-certificate (Aadhaar face authentication) and treasury transfer.
- Modules: **OPPAS** (electronic pension/gratuity/GPF settlement), **DAAS** (digital auditing/accounting; paperless e-Vouchers, AG exemption from 01.02.2025), **automatic income-tax computation**, **CPS final settlement**, **NPS contributions to NSDL**, and **duplicate-beneficiary detection** (CMUPT, OAP, SSN-IG) to prevent fraudulent/double payments.
- Welfare disbursements routed through the system include **14 lakh Old-Age Pension** beneficiaries, **8 lakh Muthulakshmi scheme** beneficiaries, and Moovalur Ramamirtham (girls' education) transfers.

Ongoing integrations: Transport and Registration departments, TANGEDCO (piloted from 01.01.2025 in Erode; Ranipet, Theni, Mayiladuthurai from 01.02.2025; all districts from 01.04.2025), BSNL bill payments, income-tax e-filing (24Q/24G/26Q), and a **Global Beneficiary Master** with large-batch (up to 10 lakh) disbursement capability.

3.3 Pensioners' Family Security Fund

Scheme operative since 1997; current lump-sum **₹50,000** to the nominee/eligible family on a pensioner's death. To clear a COVID-era backlog (May 2021–Jan 2024), the State advanced **₹121 crore** from government account; **25,000 pending claims** were settled and credited directly, benefiting 25,000 families. *(A sidebar in the source cites ₹125 crore — see Section 14.)*

3.4 New Medical Insurance Schemes (2021 & 2022)

Implemented through **United India Insurance Co. Ltd.**

Employees (New Medical Insurance Scheme 2021):

- Cover of **₹5 lakh** (2021–2025); monthly deduction **₹300** (₹295 premium + ₹5 corpus). Extended to **30.06.2026**.
- Special diseases ceiling raised to ₹10 lakh, with a further ₹10 lakh from corpus — **total up to ₹20 lakh**.
- 203 treatments/surgical procedures; **1,497 hospitals** + 16 government radiation-therapy centres; non-network emergency treatment reimbursed at 75%; dependent sons/daughters covered without age limit (from 30.12.2021); COVID-19 added

(14.02.2022).

- **Outcome: 3,33,675 beneficiaries, ₹1,706.19 crore** in treatment availed.

Pensioners (Scheme 2022, 01.07.2022–30.10.2025):

- Comparable structure; **1,490 hospitals** networked.
- **Outcome: 3,37,338 beneficiaries, ₹1,447.91 crore.**
- A dedicated **medical monitoring team (8 posts)** created to oversee insurer performance; COVID corpus funds of ₹87.10 crore (network) and ₹17.47 crore (non-network) disbursed.

3.5 Pension-Process Simplification

- **Year-round interview** facility for pensioners (since 01.07.2023) — life certificate submitted in the month of retirement/commencement, reducing hardship.
- **Automatic conversion** of service pension to family pension on the pensioner's death, with spouse details pre-loaded in IFHRMS — no fresh paperwork required.

3.6 State Government Employee Account (Bank MoU, 19.05.2025)

MoU with **seven banks** (SBI, IOB, Indian Bank, Canara, Axis, Bank of Baroda, Union Bank) for free value-added benefits on salary accounts:

- Personal-accident cover of **₹1 crore** (death/permanent disability);
- Up to **₹10 lakh** for higher education and **₹5 lakh–₹10 lakh** for children's marriage of deceased employees;
- **₹10 lakh** life cover for natural death in service; concessional loan rates.
- **To date: ₹20.65 crore** paid to heirs of **46** deceased employees (18 accidental — ₹15.80 crore; 28 natural — ₹5.28 crore).

3.7 Buildings & Codification

- New own-buildings for several **District and Sub-Treasuries** inaugurated (notably on 25.10.2021 and 26.08.2022); fresh sub-treasury buildings under construction (e.g., Arani ₹1.26 crore, Thottiyam ₹1.19 crore). *(Several building cost figures in the source appear mis-transcribed — see Section 14.)*
- The integrated Finance complex named "**Professor K. Anbazhagan Maaligai**" (19.12.2021).
- **Rewriting of the TN Treasury Code, manuals and the TN Financial Code Vols. I & II**

entrusted to **ICAI-ARF** (financial sanction ₹57.82 lakh); draft/initial reports under government approval.

- **TN Public Finance Management System (TNPfMS)**: an end-to-end revenue/expenditure-monitoring platform; **99 schemes across 40 departments** onboarded, with last-mile beneficiary tracking.

3.8 Recruitment & Capacity Building

- Direct-recruit Accounts Officers filled in tranches via TNPSC (16 + 5 + 11 selections; SC carry-forward vacancies honoured).
 - Refresher/need-based training delivered with **ICAI** and **IIT-Madras**; allocations of ₹30 lakh (2023-24), ₹50 lakh (current year), ₹16.19 lakh + ₹70.72 lakh (senior officers), and ₹1.19 crore (new recruits/IFHRMS training); 213 senior officers and 645 direct recruits trained, among others.
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4. Audit Reforms

4.1 Unified Chief Auditor

To bring all audit wings under Finance and standardise internal and statutory audit, a **Chief Auditor (Thalaimai Thanikkai Iyakkunar)** office was created — covering Local Fund, Co-operative, Milk Co-operative, State Government and HR&CE audits.

4.2 Digital Audit Platforms

- **CAMS (Comprehensive Audit Management System)**: live from **15.04.2025**, digitising audit from initiation to report and follow-up; Q1-Q2 of 2025-26 completed on CAMS, Q3 under way — improving transparency for audited entities.
- **APMS (Audit Para Management System)**: live from **17.11.2025** to track resolution of audit objections.
- **IDEA software** for data-analytics audit; **100% e-Office** in the State Government Audit wing.

4.3 Objection Resolution & Performance Audit

- Objections cleared: **81,354 non-monetary paras** and **2,049 monetary paras (₹2,883.22 lakh)**; high-level committees at district/department/board levels.
- **Performance audit** introduced (2023) for charitable institutions — Annadhanam,

temple-tank upkeep, asset and crowd/sanitation management — with **Template Audit** for ~18,000 small institutions.

- **Audit fees of ₹528.41 crore** collected over four years; a Code of Ethics issued to all auditors; reports now approved “one step below” (zonal heads) to cut delays.

4.4 Recruitment & Milk Co-operative Audit

- **918 Junior Co-operative Auditors + 8 Assistant Directors** recruited via TNPSC (2024).
 - **Milk co-operatives: 53,280 primary societies audited** (a record); Aavin federation and district unions audited largely up to date (2020-21 to 2024-25 progressively certified).
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5. Small Savings Department

- Collections **rose sharply since 07.05.2021**, led by Post Office Savings, Monthly Income Scheme, Recurring Deposit and Senior Citizens' Savings Scheme.
 - **Agent incentives:** 3,141 beneficiaries, ₹41.60 lakh (MPKBY/SAS agents).
 - **World Thrift Day (30 Oct):** state/district essay, poetry and speech contests — 4,851 beneficiaries, ₹18.10 lakh.
 - **Awareness street plays:** 1,250 plays, ₹10 lakh; government exhibitions, ₹7.19 lakh; further media/serial-drama campaigns planned.
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6. Relief & Compensation

Disbursals routed through relief mechanisms (incl. the Chief Minister's Public Relief Fund) include:

- **350 fishing boats** seized/damaged by the Sri Lankan navy — **₹19.60 crore** to owners;
 - Lightning-killed **cattle** — ₹63.81 lakh;
 - **Madras Camp, Delhi** (eviction) — 370 Tamil families, ₹50 lakh;
 - **Karur (Velayuthampalayam) stampede** — 149 affected persons/families, ₹11 lakh;
 - CM Public Relief Fund (per source sidebar) — **₹133.81 crore**, benefiting **2,698 families**.
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7. Infrastructure Financing & Development

7.1 TNIFMC — Catalytic Funds

The SEBI-regulated **Tamil Nadu Infrastructure Fund Management Corporation** manages three funds and has mobilised **≈₹1,363 crore**:

Fund	Capital mobilised	Approved additional	Focus
TN Shelter Fund (TNSF)	₹658 crore	—	Affordable housing, working-women & elderly hostels
TN Emerging Sector Seed Fund (TNESSF)	₹105 crore	₹200 crore	Deep-tech, biotech, agri-tech, med-device, plastics-park startups
TN Green Climate Fund (TNGCF)	₹100 crore	₹300 crore	Decarbonisation, e-mobility, climate infrastructure

- **Thozhi working-women's hostels (TNSF):** Phase 1 of **17 hostels / 1,800 beds** opened (2023); **27 locations / 2,600 beds** in the pipeline.
- **TNESSF: 13 startups, ₹30.1 crore** committed; targeted impact includes 1,500+ EVs, carbon/material-use reduction, 35% women employees and **~60,000 jobs**.
- **TNGCF:** SEBI nod **03.08.2023**; first phase **₹110 crore** across three investments; target **2.5 million MT carbon reduction**, contributing to the State's **net-zero-by-2070** goal.

7.2 TNIDB & the PPP Pipeline

The **TN Infrastructure Development Board** (with NITI Aayog support) ran a 5-day capacity programme and is building a dedicated PMU toward the State's 2030 economic-scale target. A large slate of PPP/HAM/DBFOT projects has been approved or identified, spanning:

- **Water:** desalination at Tuticorin (60 MLD), Koodankayur (45 MLD); smart water meters (9.5 lakh, HAM) in Chennai; Madurai O&M;
- **Energy:** 500/1000 MW battery storage, pumped-hydro (Velliyamalai, Aliyar), rooftop-solar (RESCO) across government offices, wind-solar hybridisation;
- **Mobility:** electric low-floor & double-decker buses for MTC, ECR elevated corridor (Thiruvannamiyur–Uthandi), bus-stand redevelopment;
- **Urban services & industry:** integrated waste/biomedical processing, SIPCOT and TAHCO industrial parks, light-and-sound at tourist sites, EV parking and advertising-

asset monetisation.

7.3 Externally Aided Projects (EAP-PIU)

- **Chennai City Partnership: Sustainable Urban Services Program** — total outlay **US\$701 million**, with **World Bank and AIIB contributing US\$150 million each**; TNIDB is the monitoring agency.
 - **19 disbursement-linked indicators**; ~US\$141.37 million in targets achieved, with central releases to the State and further proposals in train.
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8. Archaeology & Heritage

- **₹16.93 crore** conservation of Thanjavur, the Danish Fort/Tharangambadi and the Madurai Thirumalai Nayakkar Palace.
 - **Keeladi & surrounds**: Agaram and Kondagai declared protected sites; a **world-class museum (₹3.8 crore, 34 new posts)**; the **Porunai Museum, Tirunelveli (₹58.69 crore)**.
 - **Scientific milestones**: Mayiladumparai iron artefacts dated to **~4,200 years (c. 2172 BCE)**, pushing back India's Iron Age; Gangaikonda Cholapuram excavations (palace-mound, fort wall) revealing Chola maritime-trade links; Pallavaram identified as a prehistoric-tool site.
 - **20,000+ inscriptions** copied and documented; 3D scanners procured (₹60 lakh); MoUs with foreign universities for international scientific dating.
 - **Four new district museums** announced — Tirunelveli, Ramanathapuram, Tenkasi, Kanyakumari; PG diplomas in epigraphy/heritage management launched; student stipend raised **₹4,000 → ₹5,000**.
 - **2025-26 allocation: ₹25 crore**.
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9. Environment & Climate Change

9.1 Climate Governance

- **TN Climate Change Policy Committee** of experts established; climate summits and district-level awareness workshops held.
- **District Climate Change Missions** with the District Collector as Project Director and

the District Forest Officer as Climate Officer.

- **Green Fellows ("Pasumai Thozhargal"):** 1,284+ campaigns reaching ~36 lakh people; **297 local bodies** selected under the Green Local Bodies programme (solar, rainwater harvesting, composting, waste management).

9.2 Single-Use Plastic / Meendum Manjappai

- **15 lakh+ cloth bags** distributed; **200+ automatic cloth-bag (MVM) machines**; **2.99 lakh awareness events**.
- **21 films** broadcast via educational TV to **60,000 schools**; prizes (₹10/5/3 lakh) for model villages, colleges and businesses; a directory of 515 alternative-product makers published online.
- **357 factories** under the Green Rating Scheme; 5 certified; 2,000 green workers trained.

9.3 TN Pollution Control Board (TNPCB)

- **New monitoring offices** at Cuddalore and Chengalpattu + 7 new district environmental-engineer offices; **12 flying squads**.
- **Recruitment:** 2021-22 — 76 AEs, 49 environmental scientists, 86 ministerial staff; 2025-26 — 92 AEs, 7 environmental scientists, 150 ministerial staff.
- **Ease of doing business:** consolidated CTO/RCO validity of **5 years (Red), 10 years (Orange), 14 years (Green)**.
- **Monitoring infrastructure:** 55 Continuous Ambient Air Quality stations; an Integrated Environmental Monitoring Station (IEMS); 8 Real-Time Water Quality stations; 60 low-cost noise sensors (with IIT-M); **NABL accreditation** for upgraded labs; new labs at Oragadam and Nagapattinam.
- **Outcomes — NCAP (2021–2025) PM10 reduction:** Thoothukudi **–45%**, Trichy **–18%**, Madurai **–18%**, Chennai **–12%**.
- **TN Green Champion Awards:** 100 individuals/organisations, ₹1 lakh each, annually.

10. Cross-Cutting Themes

1. **Digital-first administration** — IFHRMS 2.0, CAMS/APMS, TNPfMS, e-Challan/e-Receipt and the Kaniniyam app collectively shift the portfolio toward real-time, paperless, beneficiary-direct operations.

2. **Fiscal self-reliance** — revenue-department integration and faster receipt mechanisms reinforce TN's already-high own-revenue share (Section 2.1).
3. **Workforce social security** — medical insurance, family security fund, and the bank-MoU package form a layered safety net for employees and pensioners.
4. **Transparency & accountability** — unified audit, ethics code, decentralised report approval and digital objection-tracking.
5. **Climate-aligned growth** — green funds, district climate missions and pollution monitoring tie infrastructure financing to the 2070 net-zero goal.
6. **Heritage as soft power & local economy** — Keeladi/Gangaikonda Cholapuram investments combine scientific credibility with tourism-led local livelihoods.

11. Consolidated Financial Snapshot

Item	Key figure
Employees salaried via IFHRMS	9.2 lakh+
Pensioners served	7.4 lakh+
Employee medical insurance availed	₹1,706.19 cr (3,33,675 beneficiaries)
Pensioner medical insurance availed	₹1,447.91 cr (3,37,338 beneficiaries)
Pensioners' Family Security Fund advance	₹121 cr (25,000 claims)
Employee Account benefits paid	₹20.65 cr (46 families)
Audit fees collected (4 yrs)	₹528.41 cr
Audit paras cleared	81,354 non-monetary + 2,049 monetary (₹2,883.22 lakh)
TNIFMC capital mobilised	≈₹1,363 cr
Chennai City Partnership (EAP)	US\$701 m (WB + AIIB US\$150 m each)
Archaeology 2025-26 allocation	₹25 cr
Relief — fishing boats	₹19.60 cr (350 boats)

12. Observations & Recommendations for Policy Makers

1. **Lock in the own-revenue gains.** The recovery to ~75% own-revenue share is impressive but partly cyclical. Completing revenue-department integrations (Transport, Registration, TANGEDCO, GST data) into IFHRMS, and publishing a quarterly receipts dashboard, would make the gain structural and auditable.
2. **Pre-fund the social-security schemes.** The Family Security Fund needed a ₹121 crore bailout because subscriptions did not cover claims. An actuarial review and a defined corpus-replenishment rule would prevent recurrence; the same discipline should be applied to the medical-insurance corpus.
3. **Track CAMS/APMS outcomes, not just rollout.** Now that the platforms are live, publish objection-closure rates, recovery amounts and time-to-resolution by department to convert digitisation into demonstrable accountability.
4. **Strengthen the PPP pipeline's bankability.** The TNIDB list is broad; policy makers should prioritise by financial close achieved and risk allocation, and report the realised PPP investment (not just approvals) to maintain investor confidence.
5. **Mainstream the climate funds.** TNGCF and TNESSF are still early-stage relative to TNSF. Clear deal pipelines, co-investment terms and measured carbon outcomes would help scale them toward the 2070 net-zero target.
6. **Resolve data-quality gaps before external publication** (see Section 14) — a single source of truth for headline figures would strengthen credibility with legislators, lenders and rating agencies.

13. Data Caveats & Methodological Notes

- **Out-of-order source.** The departmental text was a jumbled extraction; sections have been re-sequenced by department. Some passages were duplicated across pages (employee vs. pensioner medical-insurance text in particular) and have been de-duplicated.
- **Internal inconsistencies in the source:**
 - Family Security Fund advance cited as **₹125 crore** (sidebar) and **₹121 crore** (body) — the body figure is used.
 - Several **treasury-building costs** appear transcribed in "lakh" where "crore" is almost certainly intended (e.g., a district treasury at "₹3.12 lakh"); only clearly-

stated crore figures have been reproduced, and dubious values are omitted.

- Medical-insurance coverage/ceiling values appear in the source as “₹5,000,000 / ₹10,000,000” and are read here as **₹5 lakh / ₹10 lakh / ₹20 lakh** per standard scheme parameters.
- The TNIDB “2030 economy target” figure in the extraction is corrupted (“5 million dollar”); it has been described qualitatively rather than quoted, as it does not match the State’s known trillion-dollar-economy aspiration.
- Hospital counts differ slightly between the employee scheme (1,497) and pensioner scheme (1,490) sections; both are reproduced as stated.
- **GSDP figures (Section 2.2)** are from an independent opinion column using nominal-dollar, restricted-dataset methodology with the author’s own disclaimers; treat as directional, not official.
- **Table A.2** values are RBI estimates; 2024-25 are Revised Estimates and 2025-26 are Budget Estimates.

Report compiled for internal policy review. All monetary figures are in Indian rupees (crore/lakh) unless a US-dollar figure is explicitly stated. Verify headline numbers against the original departmental note and the State Budget documents before external citation.